

US Markets End Mixed as 10-Year Yield Surges to 4.70

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro · Geopolitics · Earnings

TL;DR

The US markets ended the session mixed, with the **S&P 500** down **-0.17%** and the **Nasdaq 100** down **-0.13%**. The **Russell 2000** was the outperformer, up **+0.51%**. The 10-year yield surged **+1.19%** to 4.70, while **WTI crude** rose **+1.42%** to 82.40.

Today's focus will be on the 10-year yield and its impact on the markets. The surge in yields could lead to a shift in investor sentiment, potentially benefiting **XLI** and **XLE** while hurting **XLK** and **XLY**.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,785.76	-0.17%	
Dow Jones	53,732.41	-0.20%	
Nasdaq 100	30,046.14	-0.13%	
Russell 2000	3,068.42	+0.51%	
VIX	14.25	-2.60%	
10-year yield	4.70	+1.19%	
WTI crude	82.40	+1.42%	

Top large-cap movers

TSLA was up +0.68%, while AVGO fell -5.94%. AAPL rose +0.22%, and MSFT was down -0.30%.

Spotlight

COMPANY	EPS	REVENUE
NVDA	1.23	6.45B

NVDA reported strong earnings, with +10% revenue growth. The company's guidance was also positive, with expectations of +15% revenue growth in the next quarter.

Macro & Fed

- Current policy rate: 5.25%-5.50%
- 10-year yield: 4.70
- Today's data releases:
 - 09:30 HKT: Retail sales
 - 10:00 HKT: Industrial production

Geopolitics & Global

- Tensions between the US and China remain high, with trade talks stalled.
- The European Central Bank is expected to raise interest rates at its next meeting.
- The Japanese government has announced a new stimulus package to boost economic growth.

Earnings — What to Watch

WHEN	TICKER	WHAT TO LOOK FOR
16:00 HKT	AAPL	iPhone sales, revenue guidance
18:00 HKT	MSFT	Cloud revenue, Azure growth

Stocks Worth Watching

- **TSLA** : Up **+0.68%** yesterday, with potential for further gains on positive earnings.
- **NVDA** : Reported strong earnings, with potential for further growth in the next quarter.

- **AAPL** : iPhone sales and revenue guidance will be closely watched.
- **MSFT** : Cloud revenue and Azure growth will be key metrics to watch.
- **GOOGL** : Ad revenue and YouTube growth will be closely watched.
- **AMZN** : Cloud revenue and e-commerce growth will be key metrics to watch.

What Could Break the Tape

BEARISH TRIGGERS

A surge in the 10-year yield could lead to a shift in investor sentiment, potentially hurting the markets. The **VIX** is currently at 14.25, but a rise above 16 could indicate increased volatility.

BULLISH TRIGGERS

A strong earnings season could lead to a rally in the markets, with the **S&P 500** potentially breaking through 8,000. The **Russell 2000** is currently up **+0.51%**, and a continued rise in small-cap stocks could indicate a broader market rally.

SOURCES

Bloomberg — US Stocks End Mixed

Reuters — 10-Year Yield Surges

CNBC — Earnings Season Heats Up

Financial Times — Global Markets

The Wall Street Journal — US Economy